

Why Sustainability Is Good for Business

by Sophia



WHAT'S COVERED

In this lesson, you will continue to learn about business ethics as it pertains to the environment, and the importance—and necessity—of sustainable practices for the long-term success of the business itself. In particular, you will learn about:

1. Sustainability's Strategic Worth



WATCH

How can sustainability be part of a business's business strategy?

The notion that the environment should be treated as a person is relatively new. But given the prominence of the worldwide environmental movement, no well-managed business today should be conducted without an awareness of the tenuous balance between the health of the environment and corporate profits. It is quite simply good business practice to be aware that their enterprise's long-term sustainability, and its profitability, depend on their safeguarding the natural environment. Ignoring this interrelationship between business and the environment not only elicits public condemnation and the attention of lawmakers who listen to their constituents, but it also risks destroying the viability of the companies themselves. Virtually all businesses depend on natural resources in one way or another.

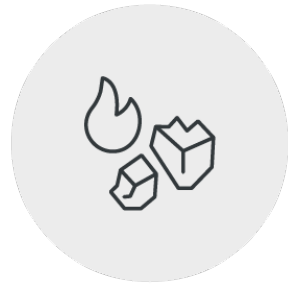
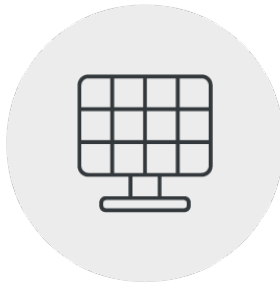
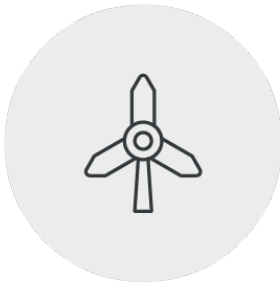


TRY IT

The industries that have the biggest impact on the environment include energy, transportation, construction, and agriculture.

Can you think of a job with no environmental impact, or even a positive impact on the environment? +

Because any industry will inevitably use energy and produce waste—even organic farming—there is no industry that has no impact on the environment. The best a business can do is minimize the impact. For example, while electric cars have issues with disposing of batteries, they have a smaller environmental impact than gasoline-burning cars, and organic farming is an effort to minimize the impact of large-scale agriculture.



Natural resources include renewable energy like wind and sun, as well as fossil fuels like oil and coal, which cause environmental damage to both collect and use.

Progressive corporate managers recognize that sustainability is multifaceted: a long-term approach to business activity, environmental responsibility, and societal impact. Sustainability affects not only the environment but also other stakeholders, including employees, the community, and government. A successful sustainability program thus requires the commitment of every part of the company. For example, engineers are designing manufacturing and production processes to meet the demands of companies dedicated to sustainability. Many of the largest companies in the world see sustainability as an important part of their future survivability.

Corporate Knights, a Canadian research and publishing company, compiles an annual list called the Global 100, identifying the world's most sustainable companies. The 2023 list shows that an increasing number of major multinational companies take sustainability seriously. In 2023, the top of the list was the American company, Schnitzer Steel Industries. Twenty-one other U.S. companies made the list, including tech giants like Cisco and Alphabet (the parent company of Google).



Find the most current list of companies here: www.corporateknights.com/rankings/global-100-rankings/ You may expect that companies dedicated to sustainability would be less profitable in the short term as they face additional costs. In fact, data from the Global 100's return on investment shows this is not always the case. If an investor had put \$250 in Global 100 companies in 2005, their investment would be worth \$580 in 2015, compared to \$520 for the same amount invested in a typical index fund. The Global 100's cumulative return on high-sustainability firms is about 25% higher than a traditional investment portfolio.

Cisco Systems is a good example of how green procurement and sustainable sourcing have become a regular part of operations. At Cisco, according to a top-level executive, "We take seriously the responsibility of delivering products in an ethical and environmentally responsible manner." Cisco relies on its Supplier Code of Conduct to set standards for suppliers, so they follow fair labor practices, ensure safe working conditions, and reduce their carbon footprint. Cisco is in the process of embedding sustainability into management at all levels.

Another company dedicated to sustainability is Siemens, which was ranked ninth on the 2023 list. Siemens is a multinational industrial conglomerate headquartered in Germany, whose businesses range from power plants to medical equipment and high-tech electronics. Siemens was rated the most energy-efficient firm in its sector, because it produced more dollars in revenue per kilowatt used than any other industrial corporation. This is a standard technique to determine the carbon footprint of similar industries. The commitment of Siemens to sustainability is further demonstrated by its decision to manufacture and sell more environmentally friendly products, such as green heating and air conditioning systems.

Do businesses simply pay lip service to environmental issues or are they really committed to sustainability? There is abundant evidence that sustainability has become a policy adopted by businesses for financial reasons, not simply public relations. McKinsey & Company, a management consulting firm, conducts periodic surveys of companies around the world on matters of importance to corporate leaders. In the 2021 report, nine companies in ten reported plans to build new businesses in response to needs for sustainability, and 42% said sustainability was at the center of their business model.

However, adopting sustainability policies does require a long-term outlook. As the authors said in a *Harvard Business Review* study on sustainability, “It’s hard for companies to recognize that sustainable production can be less expensive. That’s in part because they have to fundamentally change the way they think about lowering costs, taking a leap of faith . . . that initial investments made in more-costly materials and methods will lead to greater savings down the road. It may also require a willingness to buck conventional financial wisdom by focusing not on reducing the cost of each part but on increasing the efficiency of the system as a whole” (Haanaes, et al, 2013).



REFLECT

Have you made any important changes in your life that involved a large upfront expense but long-term benefits to your financial planning? For example, buying a house can require a huge initial investment but allows you to build equity. Paying off a credit card might be painful in the short term, but you can then move the money you would have spent on payments into savings. Investments in sustainability are like these decisions on a corporate level.

2. Sustainability Standards



THINK ABOUT IT

How can you ascertain how “green” a company is? After all, the world’s biggest polluters can air commercials with trees and wildlife to create the impression of sustainable practices.

The International Organization for Standardization, or ISO, is an independent nongovernmental agency and the world’s largest developer of voluntary international business standards. More than twenty thousand ISO standards now cover matters such as sustainability, product specifications, technology, food, agriculture, and healthcare. The adoption and use of these standards by companies is voluntary, but they are widely accepted, and following ISO certification guidelines results in the creation of products and services that are clean, safe, reliable, and made by workers who enjoy some degree of protection from workplace hazards.

➔ **EXAMPLE** In the early days of the internet, people with Macintosh browsers and Windows browsers might see different things. One might see question marks where there should be hyphens, for example. ISO helped create a standard character set used across all computer platforms and browsers, so this is now rare.

The ISO 14000 series of standards promotes effective environmental management systems by recommending cost-effective tools and best practices in environmental management. These standards were developed in the 1990s and updated in 2015; they cover everything from the eco-design (ISO 14006) of factories and buildings to environmental labels (ISO 14020), to limits on the release of greenhouse gases (ISO 14064). While their adoption is still voluntary, a growing number of countries and private companies allow only ISO 14000-certified companies to bid on contracts.

Another type of sustainability standard with which businesses may elect to comply is LEED certification. LEED stands for Leadership in Energy and Environmental Design, and it is a rating system devised by the U.S. Green

Building Council to evaluate a structure's environmental performance. The most famous example is the Empire State Building in New York City, which was awarded LEED Gold status (for existing buildings). The LEED certification was the result of a multimillion-dollar project to bring the building up to date, and it is the tallest in the United States to receive it. There are dozens of other examples of large commercial buildings, such as the Wells Fargo Tower in Los Angeles, and thousands of smaller buildings and residences. LEED certification is the driver behind the ongoing market transformation towards sustainable design in all types of structures, including buildings, houses, and factories.

3. The High Cost of Inaction

Another organization that promotes sustainability is the Environmental Protection Agency (EPA). Founded in 1970, the EPA is a governmental organization that develops standards or regulations related to the environment, enforces the standards, and monitors pollutants in the environment. They also conduct research and promote public environmental education.

According to estimates from the EPA, by the year 2050, Earth's population will be about ten billion people. Dramatic population growth has had a very significant and often negative human impact on the planet. Not only are there more people to feed, house, and care for, but new technologies allow businesses to harness natural resources in unprecedented amounts. Nongovernmental agencies and government agencies alike have taken notice. For years, the Department of State and the Department of Defense have considered climate change to be a potential threat to the long-term security of the United States. If unmanaged, climate change could pose a risk to both U.S. security and Department of Defense facilities and operations. Other respected organizations are also alerting the public to the risks of ignoring climate change.

The Union of Concerned Scientists (UCS) is a nonprofit organization focused on scientific research and action plans, to help create a healthy environment and a safer world. They released a detailed report identifying approximately twenty serious risks humanity will face if environmental damage continues unabated. These risks include rising seas and increased coastal flooding, more intense and frequent heat waves, more destructive hurricanes, wildfires that last longer and produce more damage, and heavier precipitation in some areas and more severe droughts in other areas. In addition to extreme weather events, there would likely be widespread forest death in the Rocky Mountains and other mountain ranges, the destruction of coral reefs, and shifts in the ranges of plants and animals. This doesn't just affect scenery and nature retreats, but basic needs like food and energy. Its official position is that "global warming is already having significant and very costly effects on communities, public health, and our environment. These findings are based on empirical evidence and sound data modeling.

Environmental protection and climate change issues receive varying degrees of support at the national level, depending on who is president. For example, Donald Trump withdrew the U.S. from the Paris Climate Accord, an international treaty on climate change. Joe Biden signed the U.S. back into the Accord on his first day in office. No doubt commitment by leaders will continue to seesaw, but private businesses can lead by example. For example, Microsoft founder Bill Gates has invested over two billion dollars in environmental research and technologies in search of a long-term solution to meeting the world's energy demands in a sustainable fashion. Ultimately, however, a sustainable future requires the cooperation of public and private efforts to address climate change; otherwise, the impacts will continue to intensify, growing more costly and more damaging.

Inaction has contributed to disasters like the 2017 devastation of Houston by Hurricane Harvey and of Puerto Rico by Hurricane Maria. There is often tension between developers who want to build and cities that try to legislate for more green space. Green space not only offers a place for recreation and enjoyment of nature,

but also provides essential natural drainage for rain and flood waters, reducing the likelihood that developed areas will end up underwater in a storm.

Other U.S. government agencies, such as the National Aeronautics and Space Administration (NASA) and National Oceanic and Atmospheric Administration, have identified other challenges that sustainability would address: climate change, decreasing supplies of clean water, loss of ecological systems, degradation of the oceans, air pollution, an increase in the use and disposal of toxic substances, and the plight of endangered species. Solving these challenges depends on deciding who should help pay for the protection of global environmental resources; this is an issue of both environmental and distributive justice.

One way to address the issue of shared responsibility between corporations and society is the implementation of a **cap and trade** system. The “cap” is a limit on greenhouse gas emissions—if companies exceed their cap, they must pay penalties—whereas the “trade” allows companies to use the free market to buy and sell pollution allowances that permit them to emit a certain amount of pollution. If company A is exceeding their cap, and company B is well under theirs, they can trade (or sell) their extra allowance to company A.

At present, there are more questions than answers, including how much of the responsibility lies with governments, how this responsibility can be allocated between developed and developing nations, how much of the cost the private sector should bear, and how these divisions of cost and responsibility will be enforced. Private companies must bear part of the cost, and the business sector recognizes they have some responsibility, but many disagree on whether that should be in the form of after-the-fact fines, or before-the-fact fees and deposits paid to the government. Regulations may very well have to be international in scope, or companies from one country may abuse the environment in another.

Inaction on issues of sustainability can lead to long-term environmental consequences that will not be easily reversible, such as the death of ocean coral, the melting of polar ice caps, and deforestation. Another hurdle is that it is sometimes difficult to convince companies and their investors that quarterly or annual profits are short-term and transitory, whereas environmental sustainability is long-term and permanent.



TERM TO KNOW

Cap and Trade

An approach to curbing greenhouse gas emissions by capping emissions; companies can trade their pollution allowances to other companies if they are under the cap.



SUMMARY

In this lesson, you learned about **sustainability's strategic worth**, sustainability standards, and the high cost of inaction. Sustainability itself is a strategic consideration. We need to consider how what we produce, use, and consume relies on countries and corporations that may not invest in green supply chains. We also need to consider the importance of what constitutes sustainable production, with **standards** that promote effective environmental management systems in business organizations by providing cost-effective tools that make use of best practices for environmental management. Finally, the **high cost of inaction** is quite high, if not incalculable, when we consider several lifetimes beyond our own, or consider the health of the planet.

Source: THIS TUTORIAL HAS BEEN ADAPTED FROM OPENSTAX "BUSINESS ETHICS". ACCESS FOR FREE

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